

NOTTINGHAM TRENT UNIVERSITY
COUNTER FRAUD POLICY

1. INTRODUCTION

The University is committed to the proper use of funds, both public and private and abides by the Seven Principles of Public Life from the report of the Committee for Standards in Public Life ("Nolan Principles") as set out in Appendix 1.

It is essential that everyone associated with the University including colleagues, students, contractors, temporary workers and third-parties are aware of the risk of fraud, the implications of a failure to prevent fraud, corruption, theft and other activities involving dishonesty, in all its forms.

The University aims to reduce instances of fraud to the absolute practical minimum and to put in place arrangements that hold any fraud to a minimum level on an ongoing basis. The University's approach to counter-fraud will be comprehensive, cost-effective and professional, using specialist expertise if required.

2. PREAMBLE - DEFINITIONS

- 2.1 **Fraud** can be defined as (i) wrongful or criminal deception intended to result in financial or personal gain and (ii) a person or thing intended to deceive others, typically by unjustifiably claiming or being credited with accomplishments or qualities. Both definitions are, clearly, directly applicable to the Higher Education sector.
- 2.2 **Corruption** can be defined as dishonest or fraudulent conduct, typically involving bribery.
- 2.3 **Bribery** can be defined as the offering, giving, receiving or soliciting of any item of value (money, goods, favours or other forms of recompense) to influence the actions of an official or other person in charge of a public or legal duty.

3. COUNTER-FRAUD POLICY OBJECTIVES

- 3.1 The eight key objectives of the University's counter-fraud policy are:
 1. Establishment of a *counter-fraud culture*;
 2. Maximum *deterrence* of fraud;
 3. Active and successful *prevention* of any fraud that cannot be deterred;
 4. Rapid *detection* of any fraud that cannot be *prevented*;
 5. Professional *investigation* of any *detected* fraud;
 6. Effective internal and external *actions and sanctions* against people found to be committing fraud, including legal action for criminal offences;
 7. Effective *communication and learning* in relation to fraud; and
 8. Effective methods of *seeking redress* when/where fraud has been perpetrated.

The overriding objective of the University's counter-fraud activity is to ensure that (i) fraud is seen as unacceptable by each and every stakeholder, and (ii) counter-fraud is seen to have the unwavering focus of the University as a whole.

- 3.2 This document sets out the University's policy and procedures for dealing with suspected cases of fraud, including corruption, and includes summarised instructions about what to do, and who to contact/notify, should any fraud-related concerns arise.
- 3.3 At a practical level, fraud is deemed to be a deliberate intent to deprive the University (and its associated activities) of money or goods through the falsification of any records or documents (e.g. submission of false invoices, inflated time records or travel claims and/or the use of purchase orders to obtain goods for personal use). It can also cover situations where there may be a failure to disclose or a false representation and/or where there is an abuse of position or a perception of the same.

4. ECONOMIC CRIME AND CORPORATE TRANSPARENCY ACT 2023 (ECCTA)

- 4.1 The ECCTA introduces a new strict liability criminal offence of failure to prevent fraud. The University can be held liable for failing to prevent a fraud offence committed by an employee or an associated person. It is therefore very important that all colleagues are familiar with the principles contained in this policy and complete the training as required.
- 4.2 Under the failure to prevent fraud offence, the University will be held liable if it fails to prevent a set of specified fraud offences being committed by an 'associated person'. An 'associated person' includes employees, agents, subsidiaries, or any person who otherwise performs services for or on behalf of the organisation. This broadly follows the format of how an associated person is defined under other UK anti-corruption legislation.
- 4.3 Under this Act an organisation will be guilty of certain criminal offences - including bribery, tax evasion, money laundering, fraud, and false accounting - if that offence is committed by a 'Senior Manager' acting within the actual or apparent scope of their authority. This will likely include those who are in the direct management chain and also those who are in strategic, legal, compliance, financial or senior HR roles.
- 4.4 The Failure to Prevent Fraud offence applies to the fraud and false accounting offences which the government considers are most likely to be relevant to large organisations. These include:
- Fraud by false representation;
 - Fraud by failing to disclose information ;
 - Fraud by abuse of position;
 - Obtaining services dishonestly;
 - Participation in a fraudulent business;
 - False statements by company directors;
 - False accounting;
 - Fraudulent trading; and
 - Cheating the public revenue.

The wide potential scope of the offence means that it may be used to target a range of issues including, for example, Environmental, Social and Governance related fraud.

- 4.5 It will be a defence for the University if it can prove on the balance of probabilities that it had reasonable procedures in place to prevent fraud, or that it was unreasonable to expect it to have such procedures in place. The reasonable

procedures defence is based around six principles being met. These are noted below.

- A demonstrable top-level commitment evident;
- Risk Assessments being undertaken;
- Proportionate risk-based prevention procedures being undertaken;
- Due Diligence undertaken; and
- Communication (including training).

5. COUNTER-FRAUD ACTIONS

- 5.1 The University is absolutely committed to the highest standards of honesty, accountability, probity and openness in its governance. As a direct consequence of this, the University is committed (i) to reducing fraud risk associated with any of its activities, operations and locations; and (ii) to the robust investigation of any fraud issues that should arise. Any such investigation will be conducted without regard to factors such as position, title or length of service.
- 5.2 An internal Counter Fraud Group has been established, chaired by the Chief Financial Officer or their deputy, and comprising colleagues from key areas across the University where common types of university and higher education fraud may arise (see section 5 below). The Chief Information Security Officer is also a key member of this group advising on risk arising from Information Technology Security and external cyber threats. The fraud group meets on a quarterly basis to consider existing and emerging risks and the strength of the University's control environment in mitigating risk and safeguarding the University's assets.
- 5.3 Where any acts of fraud or corruption are proven, the University will make every endeavour to ensure that the perpetrator(s) are dealt with to the full extent of the law and University disciplinary process (where a third-party is involved), and will also take every step to recover any and all losses in full.
- 5.4 It is the responsibility of everyone associated with the University including colleagues, students, contractors, temporary workers and third parties to report any fairly based suspicions of fraud or corruption. The University has a policy of ensuring that there will be no repercussions for people reporting reasonably-held suspicions, and concerns can be raised if necessary under the University's Whistleblowing (public interest disclosure) policy.

6. COMMON TYPES OF UNIVERSITY AND HIGHER EDUCATION FRAUD

These can include, but are not limited to:

- Fraud involving cash, physical assets or confidential information;
- Misuse of accounts;
- Procurement fraud;
- Payroll fraud;
- Financial accounting fraud, including fees;
- Fraudulent expense claims;
- Reference, qualification and related employment fraud;
- Recruitment and appointment fraud;
- Bribery and corruption fraud;
- Failure to disclose or false representation;
- Fraud by abuse of position;

- Academic fraud including immigration, admissions, internships, examinations and awards;
- Environmental, Social and Governance related fraud; and
- Accommodation-related fraud, including preference and payment.

7. PROCEDURE TO REPORT A FRAUD OR SUSPICION OF FRAUD OR CORRUPTION

- 7.1 Where there is suspicion that fraud or corruption has occurred, or is about to occur, then it is essential that either the Chief Financial Officer or the University Secretary (hereinafter referred to as an "Appropriate Person") is informed immediately. All reports will be treated confidentially.
- 7.2 In certain circumstances a person who suspects that a fraudulent act has taken place may feel that it is not appropriate to report the matter through any of the internal channels specified in this policy. In such cases the matter may be reported directly to the Chair of the University's Audit and Risk Management Committee who would need to be satisfied that valid reasons existed for bypassing the internal reporting process. Any such communications should be marked "confidential" and addressed to the Chair of the Audit and Risk Management Committee c/o the University's Governance Services Office. Governance Services will promptly forward the item, unopened, to the Chair of the Audit and Risk Management Committee.
- 7.3 Copies of any relevant document(s) should be retained. This will retain documents for use in any subsequent investigation and avoids any documents being destroyed.
- 7.4 Concerns should not be discussed with colleagues or anyone else other than an Appropriate Person and neither should the police be contacted directly. That decision is the responsibility of the Appropriate Person and other senior University officers.
- 7.5 The University's Whistleblowing (public interest disclosure) policy provides that there will be no repercussions for people reporting reasonably held concerns and suspicions, and any action against such people including victimisation and deterring/preventing reporting will be referred to the University's disciplinary processes. Equally abuse of the process by reporting malicious allegations will also be regarded as a disciplinary issue.

8. FRAUD WITH ACADEMIC IMPLICATIONS

- 8.1 Fraud can often be associated with direct financial gain, such as procurement and invoicing fraud. However, in the University/Higher Education sector, academic fraud is a further possibility, including fraud related to immigration, admissions, internships, examinations and awards.
- 8.2 Such a fraudulent activity could be very high-profile, with potentially significant consequences for the University. In such cases, it is again essential that an appropriate person is contacted at the earliest opportunity, together with other senior University officer(s), as deemed appropriate.
- 8.3 Such a fraud may involve a number of stakeholders, including the police and professional bodies, but decisions regarding their involvement generally remain the responsibility of senior University officers. To ensure that the investigation is not compromised, however, it is vital that the number of people aware of the investigation is kept to an absolute minimum. Notwithstanding, it should be

recognised that some frauds of this nature will involve the police initiating their own investigation.

9. RESPONSIBILITIES

- 9.1 The **Board of Governors** has overall responsibility for approval of this Policy in accordance with its obligations to safeguard University assets.
- 9.2 The **Audit and Risk Management Committee** has delegated authority from the Board of Governors for reviewing and recommending the approval of the policy, together with receiving reports on any fraudulent activity and the actions taken to prevent reoccurrence.
- 9.3 In the event of any material adverse change in an institution's circumstances such as a significant and immediate threat to the HEI's financial position, significant fraud or major accounting breakdown, the **Accountable Officer** must inform without delay all of the following: the Chair of the Audit and Risk Management Committee, the Chair of the Board of Governors, the Internal Audit team, the External Auditor and the Office for Students.
- 9.4 The **Chief Financial Officer** is responsible for the design and establishment of the internal financial control system, managing fraud risk in the context of overall risks to the University and is responsible to the Vice-Chancellor for the organisation of the investigation of fraud.
- 9.5 The **Chief Financial Officer** is responsible also for commissioning the Internal Audit team to investigate allegations of fraud and providing reports on fraud to the Audit and Risk Management Committee.

10. OTHER RELEVANT POLICIES, REGULATIONS AND GUIDANCE

The University has a range of policy documents and guidance which offers advice and sets out the regulations pertaining to a number of areas some of which may impact on this Counter Fraud policy. These are:

- Financial regulations;
- Purchasing Policy;
- Travel and Expenses Policy;
- DT and Cyber Security Policies;
- Whistle Blowing Policy;
- Anti-Bribery Policy;
- Conflicts of Interest Policy;
- Anti Money Laundering and Counter Terrorism Financing Policy; and
- Disciplinary processes.

11. DOCUMENT GOVERNANCE

11.1 Responsibility

Policy Owner	Chief Financial Officer
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11.2 Version Control and Change History

Version	Approval Date	Approved by	Amendment
1.0	10 May 1999	Board of Governors	New policy
1.1	2 March 2009	Board of Governors	Procedural update
1.2	14 November 2011	Board of Governors	Reference to Bribery Act
1.3	18 November 2013	Board of Governors	Operational update
1.4	3 October 2016	Audit and Risk Management Committee	Operational update
1.5	3 November 2020	Audit and Risk Management Committee	Operational Update
1.6	28 November 2023	Board of Governors	Formal review
1.7	24 October 2024	Head of Governance and Legal Services	Minor changes to drafting and addition of hyper links in accordance with 10.3 below
1.8	10 March 2026	Audit and Risk Management Committee	Changes to reflect the provisions of ECCTA and nomenclature

11.3 Document Review

This policy will be reviewed annually by the Chief Financial Officer and the University Secretary in response to statutory changes, changes in University procedures or structures, or as a result of monitoring of the operation of the policy.

The Audit and Risk Management Committee and the Board of Governors will also consider the policy formally on a review cycle of every three years.

APPENDIX 1

The Seven Principles of Public Life from the Report of the Committee for Standards in Public Life (The Nolan Report)

Selflessness

Holders of public office should take decisions solely in terms of the public interest. They should not do so in order to gain financial or other material benefits for themselves, their families or their friends.

Integrity

Holders of public office should not place themselves under any financial or other obligation to outside individuals or organisations that may influence them in the performance of their official duties.

Objectivity

In carrying out public business, including making public appointments, awarding contracts, or recommending individuals for rewards and benefits, holders of public office should make choices on merit.

Accountability

Holders of public office are accountable for their decisions and actions to the public and must submit themselves to whatever scrutiny is appropriate to their office.

Openness

Holders of public office should be as open as possible about all their decisions and the actions that they take. They should give reasons for their decisions and restrict information only when the wider public interest clearly demands.

Honesty

Holders of public office have a duty to declare any private interests relating to their public duties and to take steps to resolve any conflicts arising in a way that protects the public interest.

Leadership

Holders of public office should promote and support these principles by leadership and example.